DREAM FORGE 3.0

Round 2 – Case Problem Statement

THE Rs. 1 CRORE CROSSROADS: SWIFTKART'S NEXT MOVE

Background

SwiftKart is a Delhi-NCR based last-mile delivery company serving e-commerce and quick-commerce players across the region.

The company currently operates a fleet of 100 petrol two-wheelers. While SwiftKart has experienced steady growth, increasing fuel and maintenance costs have begun putting pressure on its margins.

At the same time, SwiftKart's major clients are becoming increasingly conscious of their environmental footprint and are showing a preference for logistics partners capable of providing low-emission delivery solutions.

SwiftKart is therefore evaluating the transition from petrol vehicles to electric vehicles (EVs).

However, electrification is not the company's only strategic priority.

The company has Rs. 1 crore available for deployment over the next 24 months and has also received an opportunity to expand its operations through a potential contract with a large e-commerce player.

The management must decide how this limited capital should be deployed to create the greatest value for the company.

The Opportunity

A large e-commerce player is considering SwiftKart as a logistics partner for an expanded delivery network.

If SwiftKart secures the contract, it would need to add approximately 75 vehicles within the next 12 months while maintaining high service reliability.

The proposed contract requires:

- Minimum 95% delivery fulfilment
- A significant proportion of deliveries to be made using low-emission vehicles
- Monthly reporting of emissions-related metrics
- Ability to scale operations within 12 months

At full capacity, the contract is expected to generate approximately Rs. 2.8 crore in annual revenue.

However, SwiftKart would need to make the necessary investments before reaching full utilization.

This creates a strategic dilemma for the management:

> ***Should SwiftKart prioritize electrifying its existing fleet, pursue the new growth opportunity, or adopt a combination of both?***

Data Provided

Current Operations

Particular	Value
Current fleet	100 petrol two-wheelers
Revenue per delivery	Rs. 40
Deliveries per bike per day	30
Working days per month	26
Rider pay per bike per month	Rs. 14,000
Petrol running cost per bike per month	Rs. 9,000
EV running cost per bike per month	Rs. 3,000
Current average fleet utilization	85%

Particular	Value
Available capital	Rs. 1 crore

Fleet Alternatives

Particular	Petrol Bike	EV – Purchase	EV – Lease
Acquisition cost	—	Rs. 1,20,000	—
Monthly running cost	Rs. 9,000	Rs. 3,000	Included in lease
Monthly lease cost	—	—	Rs. 3,500
Expected useful life	—	4 years	3 years
Expected resale value	Rs. 30,000	Rs. 25,000	—

Additional Information

- Charging infrastructure for a 100-EV fleet requires a one-time investment of Rs. 10 lakh.
- A fully charged EV can support approximately 30 deliveries per working day under normal operating conditions.
- Charging-related downtime may affect vehicle availability.
- Battery performance is expected to deteriorate gradually over the useful life of the vehicle.
- Existing petrol vehicles can be sold for approximately Rs. 30,000 per vehicle.
- A government subsidy of Rs. 10,000 per purchased EV may be available.
- SwiftKart can finance its investments through a combination of internal capital, bank debt and leasing.
- The indicative bank loan interest rate is 11% per annum, with a 3-year tenure.

Market Uncertainty

The management expects the operating environment to remain uncertain over the next two years.

Some possible developments include:

- Petrol prices increasing significantly
- EV acquisition costs declining as adoption increases
- Changes in delivery demand
- Higher electricity costs
- Charging-related downtime
- Changes in government incentives
- Faster-than-expected growth in demand for sustainable logistics

Teams are encouraged to investigate relevant market trends and external data while developing their recommendation.

Your Task

You are acting as strategy and finance consultants to SwiftKart's management.

The management wants you to determine how SwiftKart should deploy its Rs. 1 crore over the next 24 months.

Your recommendation should consider the company's financial position, growth opportunity, fleet strategy, operational requirements and long-term competitive position.

Teams may consider buying EVs, leasing EVs, retaining petrol vehicles, phased electrification, expansion, or a combination of strategies.

There is no predetermined correct answer.

The strength of the recommendation will depend on the quality of the analysis, assumptions, financial reasoning and strategic rationale supporting it.

Submission Requirements

Teams must submit a maximum 4-slide presentation, excluding the Title Slide and Annexure.

Slide 1 – The Situation

Present your understanding of SwiftKart's current position and identify the key business challenge. Highlight the most important insights from the information provided.

Slide 2 – Strategic Alternatives

Evaluate the strategic options available to SwiftKart. Teams should compare the alternatives on relevant financial and business parameters and identify the key trade-offs involved.

Slide 3 – The Rs. 1 Crore Decision

Present how you would deploy SwiftKart's Rs. 1 crore over the next 24 months. Support your proposed allocation with relevant financial analysis and assumptions.

Slide 4 – Recommendation & Roadmap

Present your final recommendation and a 24-month implementation roadmap. Your recommendation should address the key risks, uncertainties and expected business impact.

Annexure

Teams may include additional slides containing:

- Detailed calculations
- Financial models
- Assumptions
- Sensitivity analysis
- Supporting research
- Sources

Annexure slides will not count towards the 4-slide limit.

Important Instructions

- Teams will have 24 hours to analyse the case and prepare their solution.
- Teams may use the internet and publicly available resources for research.
- All external data and sources used must be appropriately cited.
- Teams may make reasonable assumptions wherever necessary. All major assumptions must be clearly stated.
- Teams are free to introduce additional strategic alternatives if they believe they create greater value for SwiftKart.
- Recommendations should be financially viable, practically implementable and supported by appropriate analysis.
- There is no single predetermined correct answer.
- Teams will be evaluated on understanding, creativity, financial rigour, feasibility, sustainability and impact.